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Course: ECON 1BB3: Introductory
Macroeconomics

Assignment: Chapter 12

1. What is fiscal policy?

Choose the correct answer below.

- ☐ A. Fiscal policy can be described as changes in interest rates to achieve macroeconomic policy objectives.
- ☐ B. Fiscal policy can be described as changes in government spending and interest rates to achieve macroeconomic policy objectives.
- ☐ C. Fiscal policy can be described as changes in interest rates and taxes to achieve macroeconomic policy objectives.
- ☒ D. Fiscal policy can be described as changes in government spending and taxes to achieve macroeconomic policy objectives.

Who is responsible for fiscal policy?

- ☐ A. Fiscal policy is controlled by market forces.
- ☐ B. The provincial, territorial, and local governments control fiscal policy.
- ☐ C. The federal government and the provincial, territorial, and local governments jointly control fiscal policy.
- ☒ D. The federal government controls fiscal policy.

2. What is the difference between fiscal policy and monetary policy?

Which of the following statements is most accurate regarding fiscal policy and monetary policy?

- ☐ A. Fiscal policy includes changes in interest rates and taxes and is controlled by the federal government. Monetary policy includes changes in the money supply and government spending and is controlled by the provincial, territorial, and local governments. Both policies are intended to achieve macroeconomic objectives.
- ☐ B. Fiscal policy includes changes in government spending and taxes and is controlled by the provincial, territorial, and local governments. Monetary policy includes changes in the money supply and interest rates and is controlled by the federal government. Both policies are intended to achieve macroeconomic objectives.
- ☐ C. Fiscal policy includes changes in government spending and interest rates and is controlled by the federal government. Monetary policy includes changes in the money supply and taxes and is controlled by the Bank of Canada. Both policies are intended to achieve macroeconomic objectives.
- ☒ D. Fiscal policy includes changes in government spending and taxes and is controlled by the federal government. Monetary policy includes changes in the money supply and interest rates and is controlled by the Bank of Canada. Both policies are intended to achieve macroeconomic objectives.

3. According to Statistics Canada, "[b]y 2056, it is projected (based on a medium growth scenario) that there will be only 2 working-age people for every senior in Canada."

StatsCan, Demographic Change, January 14, 2010, <http://www.statcan.gc.ca/pub/82-229-x/2009001/demo/int1-eng.htm>

Briefly explain the implications of these facts for federal government spending as a percentage of GDP in 2056.

- ☐ A. Without changes in government policies, this change will result in increases in federal government transfer payments and increases in federal tax revenues, causing government spending to become a larger percentage of GDP.
 - ☐ B. Without changes in government policies, this change will result in decreases in federal government transfer payments and decreases in federal tax revenues, causing government spending to become a smaller percentage of GDP.
 - ☒ C. Without changes in government policies, this change will result in increases in federal government transfer payments and decreases in federal tax revenues, causing government spending to become a larger percentage of GDP.
 - ☐ D. Without changes in government policies, this change will result in decreases in federal government transfer payments and increases in federal tax revenues, causing government spending to become a smaller percentage of GDP.
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4. When the economy is experiencing a recession automatic stabilizers will cause:

- ☐ A. transfer payments to increase and tax revenues to increase.
- ☒ B. transfer payments to increase and tax revenues to decrease.
- ☐ C. transfer payments to decrease and tax revenues to decrease.
- ☐ D. transfer payments and tax revenues to be unaffected.

5. Some spending and taxes increase or decrease with the business cycle. This event often has an effect on the economy that is similar to fiscal policy and is called

- ☐ A. discretionary fiscal policy.
- ☐ B. monetary policy.
- ☐ C. transfer payments.
- ☒ D. automatic stabilizers.

6. What is an expansionary fiscal policy?

- ☐ A. Expansionary fiscal policy includes decreasing government spending and increasing taxes to increase aggregate demand.
- ☒ B. Expansionary fiscal policy includes increasing government spending and decreasing taxes to increase aggregate demand.
- ☐ C. Expansionary fiscal policy includes decreasing government spending and taxes to increase aggregate demand.
- ☐ D. Expansionary fiscal policy includes increasing government spending and taxes to increase aggregate demand.

What is a contractionary fiscal policy?

- ☐ A. Contractionary fiscal policy includes increasing government spending and taxes to decrease aggregate demand.
- ☒ B. Contractionary fiscal policy includes decreasing government spending and increasing taxes to decrease aggregate demand.
- ☐ C. Contractionary fiscal policy includes increasing government spending and decreasing taxes to decrease aggregate demand.
- ☐ D. Contractionary fiscal policy includes decreasing government spending and taxes to decrease aggregate demand.

7. The graph to the right illustrates the static AD-AS model.

Suppose the economy is initially in long-run equilibrium at point A.

The government decides to decrease government spending. In the short-run, this contractionary fiscal policy will cause:

- ☒ A. A shift from AD_2 to AD_1 and a movement to point D, with a lower price level and lower output.
- ☐ B. A shift from AD_1 to AD_2 and a movement to point B, with a higher price level and higher output.
- ☐ C. A shift from $SRAS_1$ to $SRAS_2$ and a movement to point A, with a higher price level and the same output.
- ☐ D. A shift from $SRAS_2$ to $SRAS_1$ and a movement to point B, with a lower price level and higher output.

